Back to the 1980s or Not? The Drivers of Inflation and Real Risks in Treasury Bonds*

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Abstract

This paper shows that the interaction of economic shocks with the monetary policy rule drives bond-stock betas in a New Keynesian asset pricing model with habit formation preferences. In my model, nominal bond betas change sign with the monetary policy inflation weight, but only if supply shocks are dominant. The betas of real bonds are closely linked to the nature of economic shocks. In the model, endogenously time-varying risk premia explain the volatility and predictability of bond and stock excess returns in the data, and imply that bond-stock betas price the expected equilibrium mix of shocks rather than realized shocks. The model explains the change from positive nominal and real bond-stock betas in the 1980s to negative nominal and real bond-stock betas in the 2000s through a change from dominant supply shocks and an inflation-focused monetary policy rule, to demand shocks in the 2000s. The model can be used to infer financial market concerns about inflation producing a severe recession, and provides a framework to assess the dominance of supply vs. demand shocks and the inflation-focus of monetary policy priced in financial markets.

Keywords: Bond betas, stagflation, soft landing, supply shocks, demand shocks, monetary policy, New Keynesian, time-varying risk premia
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